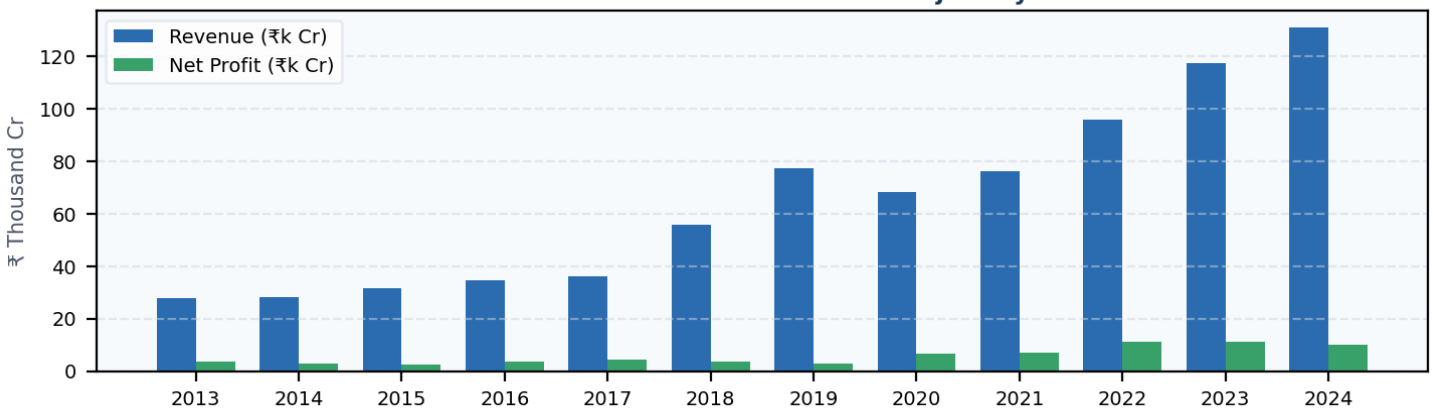
Grasim Industries Ltd (GRASIM)

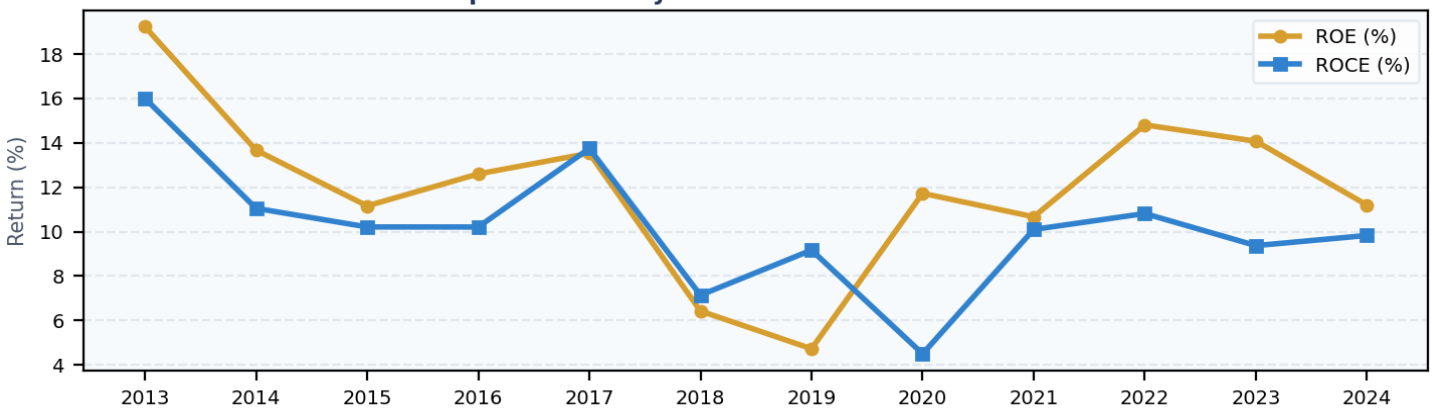
Sector: **Industrials** | Sub-Sector: **Diversified Industrials** | Nifty 100

MARKET CAP	P/E RATIO	RETURN ON EQUITY
■478,952 Cr	79.3x	11.2%
ROCE	**DEBT TO EQUITY**	**5Y REVENUE CAGR**
9.8%	1.55x	11.2%

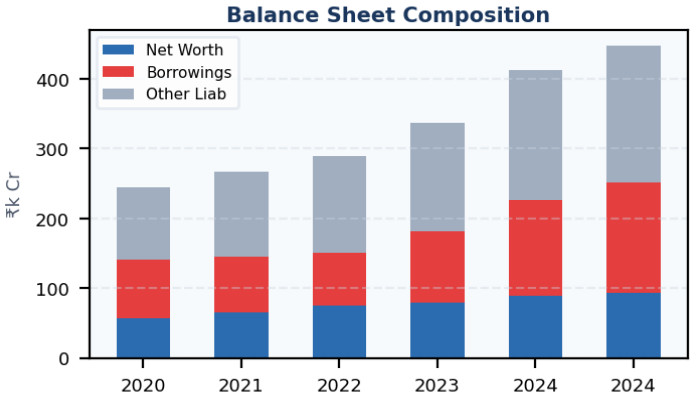
10-Year Revenue & Net Profit Trajectory

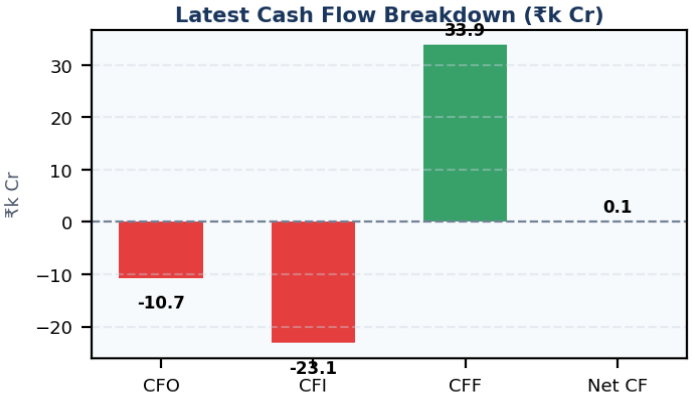


Capital Efficiency: ROE vs ROCE Dual-Axis Trend



Capital Allocation Pattern: Distress Raising Capital





Key Strengths & Growth Drivers (Pros)

- **[+]** Net profit compounding at above 20% over 5 years creates significant shareholder value
- **[+]** Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- **[+]** Revenue growing slower than profits shows improving operating leverage and scale benefits

Risk Factors & Key Concerns (Cons)

- **[-]** Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- **[-]** Earnings per share declining for 3 consecutive years reflects deteriorating profitability
- **[-]** Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital